Notes: Black and Strahan (JF, 2002)
Entrepreneurship and Bank Credit Availability

Contents

1 One-sentence summary

Black and Strahan show that U.S. banking deregulation increased new business incorporations: more competitive and consolidated banking markets appear to have helped entrepreneurs by improving credit availability rather than hurting them through the loss of small-bank relationship lending.

2 Big picture

2.1 Research question

The paper asks whether banking deregulation, competition, and consolidation improve or reduce entrepreneurs' access to credit. Theoretical predictions are ambiguous. Competition may lower loan prices and improve access, but it may also weaken banks' incentives to build relationships with young firms. Consolidation may reduce the importance of small banks, but larger banks may diversify better and lend more efficiently.

2.2 Main result

New incorporations per capita rise after states remove restrictions on branching and interstate banking. Deregulation also weakens the negative relationship between local concentration and new incorporations. States where small banks lose market share do not experience lower entrepreneurship; if anything, entrepreneurship rises when the small-bank share falls.

2.3 Why the question matters

Entrepreneurship depends heavily on credit availability. Small and young firms often lack public financial histories and need lenders willing to process soft information. Understanding whether bank competition and consolidation help or hurt these firms is therefore central to evaluating financial deregulation.

2.4 Core intuition

The paper finds that the gains from competition, larger banks, and bank productivity dominate the potential loss of small-bank relationship lending. Deregulation opened local markets, forced incumbent banks to face entry, and allowed banks to expand geographically. The result was more new firm formation.

3 Incremental contribution of the paper

3.1 From banking deregulation to entrepreneurship

Earlier studies showed that banking deregulation improved bank efficiency and economic growth. This paper connects banking deregulation directly to entrepreneurship by studying new incorporations at the state-year level.

3.2 Resolving competing theories

The paper tests two opposing views. The relationship-lending view predicts that competition and consolidation may harm young firms. The diversification/competition view predicts that larger, more competitive banks improve credit supply. The evidence supports the second view.

3.3 Joint treatment of competition and consolidation

The paper studies both market competition and bank size structure. It distinguishes local concentration, branching deregulation, interstate deregulation, small-bank asset shares, and bank productivity.

3.4 Use of policy variation

The paper exploits staggered state deregulation of intrastate branching and interstate banking. This gives the empirical analysis a policy-based source of variation rather than relying only on cross-sectional correlations.

3.5 Entrepreneurship as an outcome

The dependent variable is not small-business lending itself but new incorporations. This outcome is closer to the real economic margin of interest: whether potential entrepreneurs actually start firms.

4 Data and measurement

4.1 Outcome variable: new incorporations

The dependent variable is the number of new incorporations per capita in each state and year. The data are state-reported and compiled by Dun and Bradstreet. Delaware and South Dakota are excluded because incorporation rules make their data unrepresentative for local entrepreneurship.

Interpretation: New incorporations are an imperfect measure of entrepreneurship because not all firms incorporate and some incorporations are administrative. But the state-year panel is useful because it captures the broad entry response to banking-market reforms.

4.2 Banking deregulation variables

The paper uses two policy indicators:

- **Postbranching indicator:** equals one after a state permits branching by merger and acquisition.
- **Postinterstate banking indicator:** equals one after a state permits interstate banking.

These reforms vary across states and over time, making them central to the identification strategy.

4.3 Banking-market structure

Key banking variables include:

- local deposit Herfindahl index averaged over MSAs in a state;
- share of state banking assets held by banks below asset cutoffs such as $100 million, $50 million, and $500 million;
- bank capital ratios;
- bank productivity, measured as loans per full-time equivalent employee.

4.4 Control variables

The regressions control for demand-side and macroeconomic conditions: personal income growth and lags of personal income growth, along with the fraction of state population with a college degree. State fixed effects absorb time-invariant state differences.

4.5 Sample structure

The main panel covers 1976-1994 for all states except Delaware and South Dakota, yielding 823 state-year observations.

5 Empirical specification

5.1 Baseline panel model

The baseline regression relates the log rate of new incorporations to deregulation indicators:

$$\log(Inc_{s,t}) = \alpha_s + \beta_1 Branch_{s,t} + \beta_2 Interstate_{s,t} + \Gamma' X_{s,t} + \varepsilon_{s,t}. \tag{1}$$

Interpretation: A positive coefficient on a deregulation indicator means that entrepreneurship rises after the relevant bank expansion restrictions are removed.

5.2 Banking-structure specification

The richer model adds banking-market structure:

$$\log(Inc_{s,t}) = \alpha_s + \beta Branch_{s,t} + \delta Interstate_{s,t} + \theta HHI_{s,t} + \lambda SmallBankShare_{s,t} + \Gamma' X_{s,t} + \varepsilon_{s,t}. \tag{2}$$

Interpretation: This specification asks whether entrepreneurship is higher in more competitive banking markets and whether entrepreneurship falls as small banks lose asset share.

5.3 Concentration interaction

The paper also estimates:

$$\log(Inc_{s,t}) = \alpha_s + \beta Branch_{s,t} + \theta HHI_{s,t} + \rho(Branch_{s,t} \times HHI_{s,t}) + \Gamma' X_{s,t} + \varepsilon_{s,t}. \tag{3}$$

Interpretation: A positive interaction means that branching deregulation reduces the negative effect of concentration. This is consistent with entry threat disciplining previously concentrated banking markets.

5.4 Bank productivity specification

The final specification adds productivity measures such as log business loans per full-time employee:

$$\log(Inc_{s,t}) = \alpha_s + \beta Branch_{s,t} + \delta Interstate_{s,t} + \theta HHI_{s,t} + \lambda SmallBankShare_{s,t} + \kappa Productivity_{s,t} + \Gamma' X_{s,t} + \varepsilon_{s,t}. \tag{4}$$

Interpretation: Positive coefficients on productivity indicate that banks using labor and capital more efficiently support more business formation.

6 Identification and empirical design

6.1 Core identification idea

The paper uses staggered state-level deregulation as an exogenous shift in bank competition and market openness. Because different states deregulate at different times, the analysis compares changes in entrepreneurship before and after deregulation within states, relative to other states.

6.2 Why state fixed effects matter

State fixed effects remove time-invariant state differences: persistent entrepreneurial culture, legal environment, geography, or industry mix. The coefficients are therefore identified from within-state changes over time.

6.3 Demand controls

Personal income growth and its lags control for cyclical demand conditions that also affect new incorporations. The college-share control captures human-capital differences that may influence entrepreneurship.

6.4 Competition versus consolidation

The paper separates two mechanisms:

- **Competition channel:** deregulation and lower concentration increase entry by improving credit access.
- **Consolidation channel:** bank mergers reduce small-bank market share, which could hurt relationship lending but may increase diversification and efficiency.

The evidence shows that the competition and diversification benefits dominate the hypothesized small-bank loss.

6.5 Main threats

The main identification threat is that deregulation timing may be correlated with unobserved state economic changes that also affect entrepreneurship. The paper addresses this by using state fixed effects, macro controls, lagged demand controls, and cross-sectional robustness tests. Still, the design is best interpreted as a policy-based panel association rather than a randomized experiment.

6.6 Interpretation of coefficients

The coefficients are semi-elasticities because the outcome is log new incorporations per capita. A coefficient of 0.06 implies roughly a 6 percent increase in new incorporations, holding controls fixed.

7 Tables and figures

7.1 Figure 1: Credit extended to business is becoming more liquid; Table I: Trends in Small Bank Market Share and Local Concentration

Read: Figure 1 shows that commercial paper and bonds rise as a share of business credit while bank loans decline after the 1980s. Table I shows that small-bank asset shares fall steadily between 1976 and 1994, while local deposit HHI is stable.

Economic message: The background evidence frames the empirical puzzle. The financial sector becomes more market-oriented and consolidated, yet local concentration does not rise. The question is whether this new banking environment helps or hurts entrepreneurs.

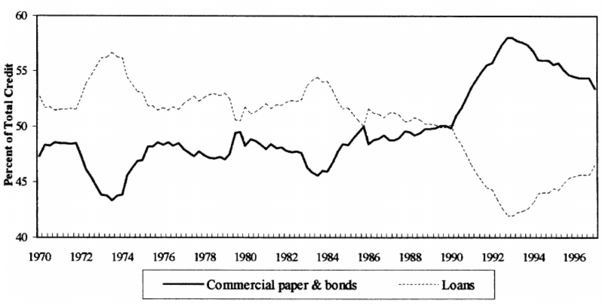

Figure 1. Credit extended to business is becoming more liquid I (CP, bonds, loans). Bonds include municipal securities and corporate bonds. Loans include bank loans, other loans,

(a) Figure 1: business credit shifts from loans toward commercial paper and bonds.

Table I

Trends in Small Bank Market Share and Local Concentration

This table reports the unweighted average across states of the share of assets held by small banks and the local HHI. A small bank here is defined as a bank with $100 ($500) million in assets or less, in 1993 dollars. The local HHI equals the sum of squared deposit market shares across all banks operating in a Metropolitan Statistical Area (MSA). For states with more than one MSA, we average the local HHI across all MSAs, weighted by total deposits in each MSA. Figures are computed by the authors from annual *Reports of Income and Condition*.

	Share of Assets Held by Banks with Assets Less Than $100 Million	Share of Assets Held by Banks with Assets Less Than $500 Million	Local Deposit-Based Herfindahl-Hirschmann Index
1976	0.239	0.477	0.198
1977	0.237	0.472	0.192
1978	0.227	0.463	0.187
1979	0.225	0.464	0.184
1980	0.229	0.464	0.183
1981	0.235	0.466	0.186
1982	0.232	0.467	0.189
1983	0.223	0.466	0.190
1984	0.211	0.448	0.184
1985	0.203	0.435	0.192
1986	0.195	0.417	0.192
1987	0.182	0.402	0.196
1988	0.183	0.395	0.196
1989	0.180	0.385	0.191
1990	0.173	0.380	0.193
1991	0.170	0.373	0.198
1992	0.164	0.365	0.192
1993	0.157	0.358	0.196
1994	0.150	0.344	0.190

(b) Table I: small-bank asset shares decline while local concentration remains stable.

7.2 Table II: The Importance of Banks to Small Business; Figure 2: Concentration Ratio of the Largest Eight Banking Organizations

Read: Table II shows that small businesses rely heavily on banks for commercial services and credit facilities. Figure 2 shows that the largest banking organizations sharply increase their share of national banking assets in the 1990s.

Economic message: Banks are central to small-firm finance, while the banking system is consolidating nationally. This makes the paper's question important: consolidation could either weaken relationship lending or improve lending efficiency.

Table II

The Importance of Banks to Small Business

This table reports average use of different kinds of banking services by small business from the 1993 *National Survey of Small Business Finance*. See Cole and Wolken (1995) for details.

	Percentage of Small Firms Using			
Number of Full-time Equivalent Employees	Any Commercial Bank Service	A Checking Account	Any Credit Facility	A Line of Credit
0–1	81	90	42	16
2–4	90	97	55	23
5–9	93	98	67	32
10–19	96	99	76	40
20–49	97	99	78	53
50–99	96	99	86	56
100–499	99	99	88	60

(a) Table II: small businesses rely heavily on banking services and credit facilities.

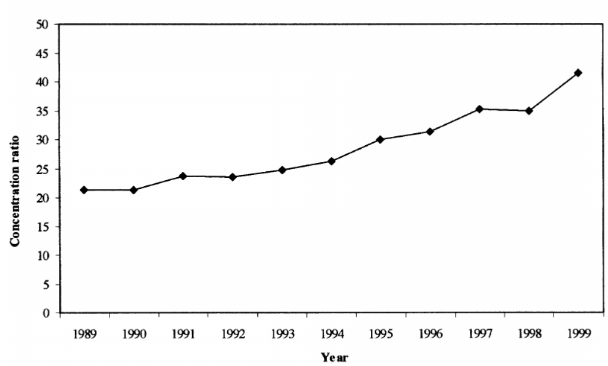

Figure 2. Concentration ratio of the largest eight banking organizations in the United States. The concentration ratio equals the share of total assets held by the largest eight banking organizations in the United States. A banking organization is a top-tier bank holding company or a stand-alone bank.

(b) Figure 2: national concentration rises among the eight largest banking organizations.

7.3 Table III: Summary Statistics

Read: Table III reports the main state-year panel variables: new incorporations, deregulation indicators, income growth, concentration, small-bank shares, capital ratios, college share, and bank productivity.

Economic message: This table defines the empirical environment. The average new incorporation rate is about 2.45 per 1,000 people, and the sample contains substantial variation in deregulation status, concentration, and small-bank share.

Table III

Summary Statistics

This table reports summary statistics for variables included in our regression analysis of new incorporations. The regression is based on a balanced panel data set for all states except Delaware and South Dakota from 1976 to 1994. New incorporations are based on state-reported data, compiled by Dun & Bradstreet. The postbranching indicator equals one during the years after a state permits branching by merger and acquisition; the postinterstate banking indicator equals one during the years after a state permits interstate banking. Personal income growth is reported by the Bureau of Economic Analysis. The Herfindahl Index is the sum of squared market shares based on deposits for all MSAs in the state. For states with more than one MSA, we average this across MSAs weighted by depositors. This series is constructed by the authors, from the FDIC's *Summary of Deposits*. The fraction of a state's total banking assets held by small banks and the fraction of assets held by banks in different capital-asset ratio categories are constructed by the authors from banks' financial statements in the *Reports of Income and Condition*. The share of workers in a state and year with a college degree or more is compiled from the March *Current Population Survey*. The banking productivity measures are also constructed by the authors from data in the *Reports of Income and Condition*. For this calculation, "business loans" is defined as commercial and industrial loans plus commercial real estate loans. FTE employees are full-time equivalents.

	Mean	Standard Deviation
Number of new incorporations (per 1000 people)	2.448	1.327
Postbranching indicator	0.564	0.496
Postinterstate banking indicator	0.420	0.494
Personal income growth	0.083	0.040
Deposit Herfindahl index (average of MSAs in state)	0.191	0.067
Fraction of assets in small banks (<$100 million)	0.203	0.173
Fraction of assets in small banks (<$50 million)	0.095	0.098
Fraction of assets in small banks (between $50 & $100 million)	0.108	0.083
Fraction of assets in small banks (between $100 & $500 million)	0.238	0.128
Share of banks with capital/assets < 2%	0.005	0.020
Share of banks with capital/assets between 2% & 4%	0.022	0.067
Share of banks with capital/assets between 4% & 6%	0.289	0.212
Share of banks with capital/assets between 6% & 8%	0.411	0.173
Share of population with a college degree	0.233	0.048
Bank productivity: Log of business loans/FTE employees	5.763	0.497
Bank productivity: Log of total loans/FTE employees	6.623	0.448
N	823	823

Table III: summary statistics for the balanced state-year panel. The visual is unpaired, so it is set to width 0.6\linewidth according to the note format.

7.4 Table IV: Panel Regression Relating Incorporations to Deregulation Indicators; Table V: Deregulation Indicators and Banking Structure

Read: Table IV shows that both branching deregulation and interstate banking deregulation are associated with higher new incorporations. Table V shows that local concentration is negatively related to incorporations, branching weakens this negative effect, and small-bank asset share is negatively related to incorporations.

Economic message: Deregulation appears to increase entrepreneurship. The evidence also shows that concentrated banking markets are worse for new firm formation, but deregulation reduces the harm of concentration. The small-bank result contradicts the claim that consolidation necessarily hurts entrepreneurs.

Table IV

Panel Regression Relating Incorporations to Deregulation Indicators

This table reports regressions based on a balanced panel data set for all states except Delaware and South Dakota from 1976 to 1994. New incorporations are based on state-reported data, compiled by Dun & Bradstreet. The postbranching indicator equals one during the years after a state permits branching by merger and acquisition; the postinterstate banking indicator equals one during the years after a state permits interstate banking. Personal income growth is reported by the Bureau of Economic Analysis. The R^2 (within) reports the R^2 after removing (i.e., de-meaning) the state fixed effects, while the R^2 (overall) reports the R^2 before removing the state fixed effects.

Dependent Variable	Log(New Incorporations per Capita)	
Postbranching indicator	0.043*	0.038*
	(0.019)	(0.016)
Postinterstate banking indicator	0.111*	0.079*
	(0.024)	(0.021)
Personal income growth$_t$	—	1.31*
		(0.19)
Personal income growth$_{t-1}$	—	1.12*
		(0.18)
Personal income growth$_{t-2}$	—	0.73*
		(0.17)
Personal income growth$_{t-3}$	—	0.81*
		(0.15)
Personal income growth$_{t-4}$	—	0.66*
		(0.16)
Personal income growth$_{t-5}$	—	0.66*
		(0.16)
Personal income growth$_{t-6}$	—	0.77*
		(0.15)
Share of population, college degree	—	0.37*
		(0.21)
N	823	823
R^2 (within)	0.367	0.540
R^2 (overall)	0.884	0.915

* Statistically significant at the 10 percent level.

(a) Table IV: deregulation indicators predict higher new incorporations.

Table V

Panel Regression Relating Incorporations to Deregulation Indicators and Measures of Banking Structure

This table reports regressions using a panel data set for all states except Delaware and South Dakota, 1976 to 1994. New incorporations are based on state-reported data, compiled by Dun & Bradstreet. The postbranching indicator equals one during the years after a state permits branching by M&A; the postinterstate banking indicator equals one during the years after a state permits interstate banking. Personal income growth is reported by the Bureau of Economic Analysis. The Herfindahl Index is the sum of squared market shares based on deposits for all MSAs in the state. This series is constructed by the authors, from the FDIC's *Summary of Deposits*. The fraction of a state's total banking assets held by small banks and the fraction of assets held by banks in different capital-asset ratio categories are constructed by the author from banks' financial statements in the *Reports of Income and Condition*. The share of workers in a state and year with a college degree or more is compiled from the March *Current Population Survey*. The R^2 (within) reports the R^2 after removing (i.e., de-meaning) the state fixed effects, while the R^2 (overall) reports the R^2 before removing the state fixed effects.

Dependent Variable	Log(New Incorporations per Capita)			
Postbranching indicator	0.010	0.011	−0.067*	−0.064*
	(0.016)	(0.016)	(0.035)	(0.036)
Postinterstate banking indicator	0.060*	0.061*	0.065*	0.066*
	(0.020)	(0.020)	(0.020)	(0.020)
Deposit Herfindahl index (average of MSAs in state)	−0.492*	−0.480*	−0.798*	−0.780*
	(0.172)	(0.173)	(0.212)	(0.214)
Herfindahl index * postbranching indicator	—	—	0.421*	0.412*
			(0.171)	(0.174)
Fraction of assets in small banks (<$100 million)	−0.725*	—	−0.680*	—
	(0.138)		(0.139)	
Fraction of assets in small banks (<$50 million)	—	−0.496*	—	−0.558*
		(0.283)		(0.283)
Fraction of assets in small banks (between $50 & $100 million)	—	−0.923*	—	−0.792*
		(0.252)		(0.257)
Fraction of assets in small banks (between $100 & $500 million)	—	0.065	—	0.068
		(0.100)		(0.100)
Share of banks with capital/assets < 2%	−0.827*	−0.812*	−0.812*	−0.796*
	(0.244)	(0.246)	(0.243)	(0.245)
Share of banks with capital/assets between 2% & 4%	0.659*	0.664*	0.658*	0.663*
	(0.090)	(0.090)	(0.089)	(0.090)
Share of banks with capital/assets between 4% & 6%	0.126*	0.128*	0.142*	0.144*
	(0.053)	(0.053)	(0.053)	(0.053)
Share of banks with capital/assets between 6% & 8%	0.059	0.061	0.068	0.068
	(0.053)	(0.053)	(0.053)	(0.053)
N	823	823	823	823
R^2 (within)	0.602	0.603	0.605	0.606
R^2 (overall)	0.927	0.927	0.927	0.928

(b) Table V: concentration, interactions, and small-bank shares in the incorporation regressions.

7.5 Table VI: Deregulation, Banking Structure, and Bank Productivity; Table AI: Cross-sectional Regressions

Read: Table VI adds bank productivity measures and finds that higher lending per employee is associated with more incorporations. Table AI shows that the negative relationship between small-bank share and incorporations is visible in yearly cross-sectional regressions.

Economic message: The productivity evidence supports the diversification and efficiency story. Larger, more productive banking organizations may reduce lending costs and increase credit availability, helping entrepreneurs despite the decline in small-bank market share.

Table VI
Panel Regression Relating Incorporations to Deregulation Indicators, Measures of Banking Structure, and Bank Productivity

This table reports regressions based on a balanced panel data set for all states except Delaware and South Dakota from 1976 to 1994. New incorporations are based on state-reported data, compiled by Dun & Bradstreet. The postbranching indicator equals one during the years after a state permits branching by merger and acquisition; the postinterstate banking indicator equals one during the years after a state permits interstate banking. Personal income growth is reported by the Bureau of Economic Analysis. The Herfindahl index is the sum of squared market shares based on deposits for all MSAs in the state. This series is constructed by the authors, from the FDIC's *Summary of Deposits*. The fraction of a state's total banking assets held by small banks and the fraction of assets held by banks in different capital-asset ratio categories are constructed by the author from banks' financial statements in the *Reports of Income and Condition*. The share of workers in a state and year with a college degree or more is compiled from the March *Current Population Survey*. The banking productivity measures are also constructed by the authors from data in the *Reports of Income and Condition*. For this calculation, business loans is defined as commercial and industrial loans plus commercial real estate loans. FTE employees are full-time equivalents. The R^2 (within) reports the R^2 after removing (i.e., de-meaning) the state fixed effects, while the R^2 (overall) reports the R^2 before removing the state fixed effects.

Dependent Variable	Log(New Incorporations per Capita)	
Postbranching indicator	−0.039	−0.030
	(0.036)	(0.037)
Postinterstate banking indicator	0.059*	0.056*
	(0.020)	(0.020)
Deposit Herfindahl index (average of MSAs in state)	−0.722*	−0.676*
	(0.211)	(0.213)
Herfindahl index * postbranching indicator	0.345*	0.315*
	(0.171)	(0.173)
Fraction of assets in small banks	−0.597*	−0.662*
	(0.140)	(0.138)
Share of banks with capital/assets < 2%	−0.901*	−0.874*
	(0.243)	(0.243)
Share of banks with capital/assets between 2% & 4%	0.633*	0.610*
	(0.089)	(0.090)
Share of banks with capital/assets between 4% & 6%	0.136*	0.114*
	(0.053)	(0.053)
Share of banks with capital/assets between 6% & 8%	0.058	0.039
	(0.053)	(0.053)
Bank productivity: log(business loans/FTE employees)	0.101*	—
	(0.029)	
Bank productivity: log(total loans/FTE employees)	—	0.119*
		(0.036)
N	823	823
R^2 (within)	0.612	0.611
R^2 (overall)	0.929	0.928

(a) Table VI: bank productivity predicts more new incorporations.

Table AI
Cross-sectional Regressions of the Rate of New Incorporations per Capita on Small-Bank Share and Local Market Concentration

Year	Current Personal Income Growth	Share of Assets in Small Banks	Deposit Herfindahl Index	N / R^2
1976	0.609	−0.610*	−0.449	47
	(1.884)	(0.332)	(0.898)	0.085
1977	2.710	−0.680*	0.320	47
	(2.044)	(0.319)	(0.860)	0.074
1978	4.020*	−1.120*	−0.575	47
	(1.452)	(0.350)	(0.888)	0.238
1979	3.871*	−0.786*	−0.766	47
	(1.741)	(0.324)	(0.908)	0.226
1980	4.658*	−0.408	−0.585	47
	(1.452)	(0.325)	(0.825)	0.303
1981	5.293*	−1.231*	−0.430	46
	(1.584)	(0.333)	(0.858)	0.309
1982	6.320*	−0.623*	−0.023	48
	(1.920)	(0.313)	(0.856)	0.293
1983	2.550	−0.729*	−0.549	48
	(2.606)	(0.379)	(0.802)	0.195
1984	2.548	−0.850*	0.053	48
	(2.606)	(0.357)	(0.811)	0.204
1985	8.717*	−0.541	−0.442	48
	(2.901)	(0.354)	(0.708)	0.380
1986	2.494*	−1.038*	−0.588	48
	(2.048)	(0.362)	(0.758)	0.295
1987	3.062	−1.022*	−0.978	48
	(2.086)	(0.355)	(0.788)	0.337
1988	6.222*	−0.656*	−1.116	48
	(2.441)	(0.370)	(0.789)	0.393
1989	5.799*	−1.056*	−1.204	48
	(2.415)	(0.278)	(0.829)	0.322
1990	4.013	−0.999*	−0.748	48
	(2.659)	(0.319)	(0.762)	0.195
1991	7.669*	−0.988*	−0.981	48
	(3.005)	(0.334)	(0.783)	0.217
1992	−0.083	−0.636	−0.475	48
	(4.270)	(0.394)	(0.846)	0.063
1993	9.094*	−0.626	−0.511	48
	(3.084)	(0.376)	(0.762)	0.232
1994	3.966	−0.919*	0.038	48
	(3.047)	(0.406)	(0.945)	0.123

* Statistically significant at the 10 percent level. Standard errors in parentheses.

(b) Table AI: cross-sectional regressions by year.

8 Short summary

- U.S. banking deregulation increased competition and allowed banks to branch and expand across states.
- The paper tests whether these reforms helped or hurt entrepreneurship.
- New incorporations rise after branching deregulation and interstate banking deregulation.
- Local deposit concentration is negatively related to new incorporations.
- Branching deregulation reduces the negative effect of concentration.
- Entrepreneurship rises as small-bank asset share falls, suggesting that the benefits of bank scale and diversification dominate losses in small-bank relationship lending.
- Higher bank productivity is associated with more new incorporations.

9 Conclusion

9.1 Core conclusion

Black and Strahan find that banking deregulation and consolidation helped entrepreneurs rather than harming them. Policies that opened banking markets and increased competition are followed by higher new business incorporations.

9.2 Economic intuition

The relationship-lending view predicts that small banks are especially useful to young firms because they process soft information. But the paper's evidence suggests that competition, bank diversification, and productivity gains from larger banking organizations improve credit availability more than the decline in small-bank share reduces it.

9.3 Policy implication

The paper supports policies that reduce entry barriers and increase competition in banking. It suggests that protecting small local banks is not necessarily the best way to support entrepreneurship if larger, more competitive banks can lend more efficiently.

9.4 Limitations

New incorporations are an imperfect measure of entrepreneurship. The deregulation events are not randomized, and deregulation may coincide with other state-level changes. The paper also cannot directly observe every small-business loan. The strength of the paper is the policy-based state panel and the consistency of the results across deregulation, concentration, small-bank share, and productivity measures.

9.5 Takeaway

Financial deregulation can affect real entrepreneurial entry. In this setting, more open and competitive banking markets appear to expand credit availability for new firms, even while the banking system consolidates nationally.